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The Distorting Effect of the Prudent-Man Laws on Institutional Equity Investments

Contents

1	Big Picture	2
1.1	Research question	2
1.2	Core answer	2
1.3	Main intuition	2
2	Incremental Contribution	2
2.1	What the paper adds relative to prior work	2
2.2	Why it matters	3
3	Institutional Setting: Prudent-Man Laws	3
3.1	Bank trusts	3
3.2	Pension funds	3
3.3	Mutual funds	3
4	Data and Measurement	3
4.1	Institutional portfolios	3
4.2	Quality and prudence proxies	3
4.3	Manager-level portfolio weights	3
4.4	Stock-level ownership regressions	4
5	Empirical Design and Identification Logic	4
5.1	Main comparison	4
5.2	Key hypothesis	4
5.3	Alternative explanations addressed	4
6	Main Findings	4
6.1	Finding 1: Banks tilt strongly toward prudent stocks	4
6.2	Finding 2: Bank tilting survives controls	5
6.3	Finding 3: The pattern is visible in aggregate institutional ownership	5
6.4	Finding 4: Prudent stocks overlap with large growth/glamour stocks	5
6.5	Finding 5: Relative performance reflects sector tilts	5
7	Interpretation	5
7.1	Mechanism	5
7.2	Asset-pricing implications	5
7.3	Performance implication	5
8	Limitations and Caveats	6

9	Detailed Table and Figure Walkthrough	6
9.1	Table 1: Mean portfolio weights of institutional managers (1988)	6
9.2	Table 2: Multivariate regressions of percentage ownership by bank and mutual fund managers on stock characteristics (1988)	7
9.3	Table 3: Multivariate regressions of percentage aggregate institutional ownership on stock characteristics (1988–1991)	8
9.4	Table 4: Average values of market equity and accounting variables across S&P rankings (1988)	9
9.5	Table 5: Equally weighted average manager portfolio weights in six size and book-to-market (B/M) categories (1988)	10
9.6	Table 6: Evidence that the differences between bank and mutual fund manager’s tilting toward high-quality stocks holds during the 1968–1989 period	11
9.7	Figure 1: Relative returns of the large- and small-capitalization stock sectors and of the average bank and mutual fund manager (1968–1989)	12
10	Bottom Line	13

1 Big Picture

1.1 Research question

This paper asks whether legal prudence rules distort institutional portfolio choices. The key institutional contrast is between bank trust managers, who face the most direct exposure to prudent-man fiduciary liability, and mutual fund managers, whose investment discretion is much less constrained by prudent-man doctrine. The empirical question is therefore not simply whether institutions prefer certain stocks, but whether the legally more constrained institutions tilt more strongly toward stocks that courts and practitioners are likely to call “prudent.”

1.2 Core answer

The answer is yes. Bank managers overweight high-quality, easy-to-defend stocks and underweight low-quality or unseasoned stocks. Mutual fund managers do not show the same pattern and often tilt in the opposite direction. This legal tilt is economically large enough to appear in aggregate institutional ownership and to help explain differences in bank and mutual fund portfolio performance over time.

1.3 Main intuition

The prudent-man rule was designed to protect beneficiaries from careless fiduciaries. In practice, courts historically judged prudence asset by asset rather than in a portfolio context. This creates an incentive for fiduciaries to hold securities that look defensible in court: large, seasoned, high-ranked firms. The manager is not only choosing a mean-variance portfolio; she is also choosing a litigation-risk-minimizing portfolio.

2 Incremental Contribution

2.1 What the paper adds relative to prior work

1. **Disaggregates institutional ownership by legal exposure.** Earlier work documented that institutional ownership is higher in apparently prudent stocks. This paper separates bank managers from mutual fund managers and shows that the aggregate pattern is primarily driven by banks.
2. **Uses cross-institution legal variation as identification.** Banks, pension managers, and mutual funds face different fiduciary and regulatory standards. This variation allows the paper to attribute portfolio tilts to legal prudence constraints rather than to a generic institutional preference.
3. **Connects legal constraints to asset-pricing patterns.** The paper links bank tilting to the size and book-to-market/growth-stock patterns emphasized in the anomalies literature.
4. **Connects portfolio tilting to performance differences.** The paper shows that bank versus mutual fund relative returns move closely with large-stock versus small-stock relative returns, consistent with different sector exposures induced by prudence constraints.

2.2 Why it matters

The paper turns a legal rule into an empirical asset-demand force. It suggests that institutional incentives can shape portfolios in ways that are neither purely risk-based nor purely information-based. It also gives a concrete mechanism through which institutional demand may contribute to the pricing of large, seasoned, low book-to-market stocks relative to smaller or less seasoned stocks.

3 Institutional Setting: Prudent-Man Laws

3.1 Bank trusts

Bank trust managers are closest to the common-law prudent-man rule. The historical standard emphasizes judgement, care, safety of capital, and avoidance of speculation. Importantly, case law and legal treatises often treated individual securities as prudent or imprudent in isolation. This is exactly the environment in which fiduciaries may avoid securities that are hard to defend ex post.

3.2 Pension funds

Private pension funds are governed by ERISA, which incorporated a more portfolio-based prudence standard after a 1979 Department of Labor release. However, pension managers may still face legal and reputational pressure, and public pension managers are often subject to state rules closer to common-law prudence. The expected constraint is therefore weaker than for bank trust managers but stronger than for mutual funds.

3.3 Mutual funds

Mutual fund managers are regulated under securities law rather than the common-law prudent-man rule. Shareholder suits in this setting tend to focus on fees and disclosure, not whether a specific stock was prudent. Thus mutual funds serve as the main relatively unconstrained benchmark.

4 Data and Measurement

4.1 Institutional portfolios

The paper uses CDA Spectrum data from SEC 13F filings. The principal cross-section is June 1988 and contains 941 institutional managers holding more than 4,000 equity securities. These managers hold roughly 45% of the total market value of the sample securities.

4.2 Quality and prudence proxies

The central prudence proxy is the Standard & Poor's Earnings and Dividend Ranking. The ranking runs from A+ to C, with not ranked (NR) representing stocks with insufficient history or that are not amenable to ranking. Because courts and practitioners had used high S&P rankings as evidence of prudence, these rankings provide a natural proxy for what fiduciaries would view as legally safe.

4.3 Manager-level portfolio weights

For manager type T , the paper studies portfolio weights such as

$$w_{i,HQ}^T = \frac{x_{i,HQ}^T}{x_i^T},$$

where $x_{i,HQ}^T$ is manager i 's dollar investment in high-quality stocks and x_i^T is the total dollar value of manager i 's equity portfolio. The prudent-man hypothesis predicts that bank managers place larger weights on high-quality stocks than mutual fund managers, the value-weighted market, and the average institutional manager.

4.4 Stock-level ownership regressions

The core stock-level regression is

$$Y_k = \theta_0 + \theta_Q Quality_k + \theta_C C_k + \varepsilon_k,$$

where Y_k is the percentage of stock k owned by a manager type, $Quality_k$ includes S&P rank and other prudence proxies, and C_k includes controls such as size, share turnover, NYSE listing, dividend yield, book-to-market, and S&P 500 membership.

5 Empirical Design and Identification Logic

5.1 Main comparison

The paper compares bank and mutual fund portfolio weights. If banks and mutual funds face similar investment opportunities but different legal constraints, then systematic differences in the direction predicted by prudent-man rules are evidence of legal distortion.

5.2 Key hypothesis

- Banks should overweight high-quality stocks such as S&P 500 firms and A+ ranked stocks.
- Banks should underweight low-quality or unseasoned stocks, especially not ranked (NR) stocks.
- Mutual funds should show weaker or no such tilt.
- Bank trust portfolios should show stronger tilting than bank pension portfolios.

5.3 Alternative explanations addressed

The paper considers whether the bank tilt is instead due to passive indexing, firm size, liquidity needs, or beneficial ownership disclosure constraints. It argues against these alternatives by showing that banks overweight A+ stocks even outside the S&P 500, and by showing that bank portfolios are not unusually larger than other institutional portfolios in a way that would mechanically explain the pattern.

6 Main Findings

6.1 Finding 1: Banks tilt strongly toward prudent stocks

In Table 1, the average bank manager has 31.1% of the portfolio in A+ stocks, compared with 15.3% for the average mutual fund manager and 22% for the value-weighted market. Banks hold only 2.6% in not ranked stocks, compared with 16.1% for mutual funds and 9% for the market. This is the paper's most direct evidence that bank portfolios are shaped by prudence concerns.

6.2 Finding 2: Bank tilting survives controls

Table 2 shows that stock-level bank ownership increases monotonically with S&P rank even after controlling for size, liquidity, S&P 500 membership, positive earnings, risk, dividends, and book-to-market. The highest rank dummy has a large positive coefficient for banks but not for mutual funds.

6.3 Finding 3: The pattern is visible in aggregate institutional ownership

Table 3 shows that aggregate institutional ownership is positively related to stock quality over 1988-1991. Since bank managers account for a large share of institutional assets and tilt strongly, their behavior is large enough to shape aggregate institutional demand.

6.4 Finding 4: Prudent stocks overlap with large growth/glamour stocks

Tables 4 and 5 connect the legal prudence tilt to the size and book-to-market dimensions. High S&P ranks are associated with larger market capitalization and lower book-to-market ratios. Banks also tilt toward big, low book-to-market stocks relative to mutual funds. This connection matters because large/growth stocks and small/value stocks have very different return histories.

6.5 Finding 5: Relative performance reflects sector tilts

Table 6 and Figure 1 show that bank-minus-mutual-fund relative performance tracks large-minus-small stock performance. The correlations are high over 1968-1978, 1979-1989, and 1968-1989. This evidence supports the view that legal constraints altered portfolio sector exposures and that those exposures helped drive performance differences across manager types.

7 Interpretation

7.1 Mechanism

The mechanism is an incentive distortion, not necessarily a competence difference. Bank managers may understand the portfolio benefits of holding less seasoned or smaller stocks, but the private cost of defending those positions in court may outweigh the expected benefit to clients.

7.2 Asset-pricing implications

If a large set of fiduciaries demand “prudent” stocks for legal reasons, then prices and expected returns may be affected. Such demand pressure is consistent with the idea that large, well-known, low book-to-market firms can become expensive relative to smaller or more value-like firms.

7.3 Performance implication

Bank managers will look good when prudent stocks outperform and look bad when imprudent stocks outperform. The paper’s time-series performance evidence is consistent with this: relative bank performance improves when large stocks outperform small stocks.

8 Limitations and Caveats

- **The prudence proxy is indirect.** S&P rank is a strong legal and practitioner proxy, but it is not itself the legal rule.
- **Manager filings pool client accounts.** A 13F filing may mix private trust, pension, and other accounts, so legal exposure is measured imperfectly.
- **The evidence is mostly cross-sectional.** The paper uses legal variation across manager types, but it is not a randomized treatment.
- **The sample period matters.** The main portfolio cross-section is 1988, with aggregate extensions to 1991 and performance evidence back to 1968. The results are historically tied to the legal and institutional environment of that period.

9 Detailed Table and Figure Walkthrough

9.1 Table 1: Mean portfolio weights of institutional managers (1988)

Purpose. This table provides the core portfolio-weight evidence. It compares bank, mutual fund, all-institution, and market weights in S&P 500 stocks, A+ stocks, and not ranked stocks. It also separates bank trusts from bank pension funds.

How to read it. The table has equal-weighted and asset-weighted averages. The equal-weighted averages show the typical manager’s portfolio tilt; the asset-weighted averages show where institutional dollars are concentrated.

Main takeaway. Banks overweight S&P 500 and A+ stocks and sharply underweight not ranked stocks. Mutual funds move in the opposite direction for not ranked stocks. The bank trust versus bank pension split is consistent with stronger legal constraint on trust managers.

Mean portfolio weights of institutional managers (1988)

Panel A. Equally weighted average portfolio weights in three types of equity securities. A manager's S&P 500 weight is defined as the proportion of the total value of his equity portfolio invested in S&P 500 stocks. The average bank manager's S&P 500 weight (0.788 in the table) is the average weight computed over the 223 bank managers in the sample. Cross-sectional standard deviations are in parentheses below the average weights. The numbers in brackets indicate the percentage of the 223 bank managers with weights greater than the value-weighted market benchmark. The other table entries are defined analogously.

	S&P 500 weight	A+ weight ^a	Not ranked (NR) weight ^a
Banks (0.15) ^b (N = 223) ^c	0.788 ^e (0.121) [84%]	0.311 ^e (0.121) [83%]	0.026 ^e (0.027) [3%]
Mutual funds (0.03) ^b (N = 62) ^c	0.625 ^e (0.221) [40%]	0.153 ^e (0.104) [30%]	0.161 ^f (0.181) [63%]
All institutions (0.45) ^b (N = 941) ^c	0.69 ^f (0.220) [58%]	0.218 (0.137) [50%]	0.099 ^e (0.144) [34%]
Value-weighted market ^d	0.71	0.22	0.09

Panel B. Asset-weighted average portfolio weights in three types of equity securities. The average weights in this panel are obtained by weighting managers with larger-asset-value equity portfolios more heavily than managers with relatively smaller-equity portfolios. In computing the asset-weighted averages, I first compute the total combined value of all bank equity portfolios. I then weight each bank manager according to the value of his portfolio relative to this total. I perform similar calculations for the mutual fund manager portfolios.

	S&P 500 weight	A+ weight ^a	Not ranked (NR) weight ^a
Banks (0.15) ^b (N = 223) ^c	0.810 (0.005)	0.284 (0.006)	0.042 (0.002)
Mutual funds (0.03) ^b (N = 62) ^c	0.738 (0.020)	0.159 (0.008)	0.09 (0.011)
All institutions (0.45) ^b (N = 941) ^c	0.776 (0.005)	0.227 (0.003)	0.066 (0.003)
Value-weighted market ^d	0.71	0.22	0.09

Table 1: Mean portfolio weights of institutional managers (1988), Panels A and B.

Table 1 (continued)

Panel C. Bank managers disaggregated into bank trusts and bank pension funds. Banks are assigned to either the bank trust or bank pension fund categories according to the 1988 *Pensions and Investment's Top 1000 Money Managers* issue, which provides the percentage of total discretionary assets invested on behalf of tax-exempt clients. I assign the managers with less than 50% tax-exempt clients to the bank trust category and those with greater than 50% tax-exempt clients to the bank pension fund category. Banks that do not appear in *Pensions and Investment's* are excluded from the table.

	S&P 500 weight	A+ weight ^a	Not ranked (NR) weight ^a
<i>Equally weighted:</i>			
Bank trusts (0.04) ^b (N = 40) ^c	0.786 (0.091) [88%]	0.326 (0.102) [93%]	0.025 (0.022) [2%]
Bank pension funds (0.04) ^b (N = 33) ^c	0.784 (0.116) [82%]	0.270 (0.1) [76%]	0.041 (0.04) [12%]
<i>Asset-weighted:</i>			
Bank trusts (0.04) ^b (N = 40) ^c	0.817 (0.01)	0.317 (0.017)	0.032 (0.003)
Bank pension funds (0.04) ^b (N = 33) ^c	0.796 (0.013)	0.253 (0.012)	0.059 (0.006)
Value-weighted market ^d	0.71	0.22	0.09

^aA+ and not ranked (NR) designate rankings assigned by Standard and Poor's.

^bNumbers in parentheses following the institutional manager type represent the percentage of total market capitalization owned by that type.

^cNumbers in parentheses below the institutional type represents the number of equity managers of that type in the sample.

^dValue-weighted market is the market weight using the total domestic market capitalization of all NYSE, AMEX, and NASDAQ stocks in the sample, totaling \$2.51 trillion.

^eSignificantly different from the value-weighted market weight at the 1% level.

^fSignificantly different from the value-weighted market weight at the 5% level.

Table 1 continued: bank trusts versus bank pension funds and notes.

9.2 Table 2: Multivariate regressions of percentage ownership by bank and mutual fund managers on stock characteristics (1988)

Purpose. This table tests whether the bank tilt toward quality remains after controlling for other stock characteristics.

Regression logic. The dependent variable is the percentage of total bank ownership or mutual fund ownership in each stock. The explanatory variables include S&P rank dummies, size, share turnover, NYSE listing, book-to-market, dividend yield, positive earnings, risk, utility status, and S&P 500 membership.

Main takeaway. Bank ownership is strongly increasing in S&P rank. The A+/A/A- rank dummy is large and highly significant for banks, while mutual fund ownership is not systematically related to S&P rank. This is a key result because it shows that legal prudence effects are not just size or indexing effects.

Table 2
Multivariate regressions of percentage ownership by bank and mutual fund managers on stock characteristics (1988)

This table presents the results of two cross-sectional OLS regressions. The first is a regression of the percentage of total bank ownership as of June 1988 on stock characteristics across a sample of 4,108 common stocks. The second is the analogous regression with total mutual fund ownership as the dependent variable. The mean value of the dependent variable is 6.32 for banks and 1.68 for mutual funds. The omitted dummy category for the S&P rank dummies is the group of stocks in the not ranked (NR) category (27.5% of sample stocks are in this category). *t*-statistics corrected for heteroskedasticity using White's (1980) method are in parentheses.

Independent variable	Dependent variable		
	Average and [median] value of this variable	Banks ^a	Mutual funds ^a
Intercept		- 9.17 (- 10.54)	- 3.65 (- 8.57)
Years exchange listed ^d	10.0 [6.75]	0.05 (3.29)	0.01 (0.72)
NYSE dummy ^b	28% ^c	- 0.55 (- 1.83)	- 0.03 (- 0.23)
Log of market capitalization ^c	11.07 ^f [10.87]	1.22 (14.28)	0.49 (10.84)
Log of share turnover ^c	- 0.67 ^g [- 0.56]	0.78 (5.99)	0.44 (4.03)
S&P A +, A, or A- rank dummy ^d	13.4% ^c	4.58 (10.81)	- 0.47 (- 1.67)
S&P B+ rank dummy ^d	9.8% ^c	2.41 (6.61)	0.28 (1.16)
S&P B rank dummy ^d	9.2% ^c	2.27 (6.35)	0.17 (0.78)
S&P B- rank dummy ^d	9.0% ^c	1.18 (3.13)	- 0.09 (- 0.42)
S&P C or D rank dummy ^d	8.0% ^c	0.34 (1.11)	- 0.15 (- 0.64)
Not listed in the <i>Guide</i> dummy ^d	23.2% ^c	0.05 (0.21)	- 0.26 (- 1.13)
Positive earnings dummy ^c	71%	0.40 (2.29)	0.06 (0.32)
Inverse of total risk ^h	30.76 ^h [27.7]	0.03 (3.27)	0.01 (2.89)
Dividend yield ^h	1.8 [0.0]	0.09 (1.19)	- 0.09 (- 4.56)

Table 2 (continued)

Independent variable	Dependent variable		
	Average and [median] value of this variable	Banks ^a	Mutual funds ^a
Dividend yield squared ^b	112.8 [0.0]	- 0.0 (- 0.24)	0.0 (3.27)
Log of book-to-market ratio ^c	- 0.42 ⁱ [- 0.3]	0.40 (3.31)	0.09 (0.8)
Regulated utility dummy ^c	5.3% ^c	- 3.69 (- 8.81)	- 0.36 (- 2.38)
S&P 500 dummy ^d	10.3% ^c	2.16 (4.85)	- 0.11 (- 0.5)
$\bar{R}^2$		0.42	0.11
<i>N</i>		4,108	4,108

^aData source: CDA Spectrum, June 1988 13F SEC filings.

^bData source: Center for Research in Security Prices (CRSP), calendar year-end of the previous year.

^cData source: Compustat, fiscal year-end of the previous year.

^dData source: Standard and Poor's *Security Owner's Stock Guide*, January issue of current year.

^eThis number represents the percentage of the sample stocks that are in this dummy variable category.

^fThe mean and median value of market capitalization are \$539.8M and \$52.3M, respectively.

^gThe mean and median value of annual share turnover are 0.77 and 0.57.

^hThe mean and median value of the daily standard deviation of return are both 0.04.

ⁱThe mean and median value of the book to market ratio are 1.1 and 0.74.

Table 2: multivariate ownership regressions, first page.

Table 2 continued: remaining variables, data sources, and notes.

9.3 Table 3: Multivariate regressions of percentage aggregate institutional ownership on stock characteristics (1988–1991)

Purpose. This table asks whether the prudence/quality pattern remains visible after banks are pooled with other institutions.

How to read it. The dependent variable is aggregate institutional ownership for each stock in 1988, 1989, 1990, and 1991. The independent variables are the same stock characteristics used in Table 2.

Main takeaway. Aggregate institutional ownership is positively related to quality proxies across years. Since mutual funds do not display the same rank-based tilt, the aggregate result indicates that bank tilting is strong enough to shape overall institutional ownership.

Table 3
Multivariate regressions of percentage aggregate institutional^a ownership on stock characteristics (1988–1991)

This table presents the results of two cross-sectional regressions. The dependent variables are the percentage of total institutional ownership as of June 1988, 1989, 1990, and 1991. The independent variables are the same stock characteristics used as independent variables in the disaggregate bank and mutual fund ownership regressions of Table 2. The mean values of the dependent variables are 24.37, 28.01, 28.56, and 29.87. The omitted dummy category for the S&P rank dummies is the group of stocks in the not ranked (NR) category. *T*-statistics corrected for heteroskedasticity using White's (1980) method are in parentheses.

Independent variable ^a	Dependent variable			
	1988 ^b	1989 ^b	1990 ^b	1991 ^b
Intercept	− 31.85 (− 14.39)	− 23.34 (− 8.84)	− 26.15 (− 9.94)	− 20.71 (− 7.79)
Years exchange listed	0.08 (2.17)	0.05 (1.2)	0.04 (1.08)	0.10 (2.48)
NYSE dummy	3.35 (4.60)	2.55 (3.55)	3.24 (4.26)	5.17 (6.68)
Log of market capitalization	4.72 (20.70)	4.23 (15.83)	4.26 (16.1)	4.12 (15.79)
Log of share turnover	5.60 (18.19)	6.74 (20.09)	6.11 (15.18)	7.20 (20.88)
S&P A+ , A, or A− rank dummy	3.67 (3.61)	3.35 (3.04)	2.28 (2.03)	2.77 (2.41)
S&P B+ rank dummy	7.82 (8.19)	6.74 (6.60)	6.49 (5.93)	6.84 (6.19)
S&P B rank dummy	6.17 (6.80)	6.28 (6.45)	7.26 (7.18)	7.06 (6.59)
S&P B− rank dummy	3.42 (3.64)	4.04 (4.22)	4.02 (4.08)	3.74 (3.67)
S&P C or D rank dummy	− 0.19 (− 0.21)	1.71 (1.82)	4.20 (3.89)	3.51 (3.27)
Not listed in the <i>Guide</i> dummy	− 1.54 (− 2.35)	0.64 (− 0.75)	0.82 (− 1.3)	− 0.16 (− 0.17)
Positive earnings dummy	1.94 (3.82)	2.72 (4.43)	2.60 (4.11)	3.42 (4.84)
Inverse of total risk	0.15 (7.34)	0.1 (6.42)	0.1 (6.9)	0.06 (4.09)
Dividend yield	− 0.78 (− 5.44)	− 0.05 (− 1.65)	− 0.10 (− 2.28)	− 0.03 (− 0.84)
Dividend yield squared	0.01 (4.22)	0.0 (3.17)	0.0 (2.57)	0.0 (1.12)

Table 3 (continued)

Independent variable ^a	Dependent variable			
	1988 ^b	1989 ^b	1990 ^b	1991 ^b
Log of book-to-market ratio	2.33 (7.79)	2.02 (6.0)	1.36 (4.15)	0.33 (0.95)
Regulated utility dummy	− 10.45 (− 10.56)	− 12.1 (− 11.32)	11.44 (− 9.98)	− 12.73 (− 11.49)
S&P 500 dummy	3.47 (3.46)	4.39 (4.15)	5.38 (5.18)	2.34 (2.26)
<i>R</i> ²	0.58	0.58	0.58	0.58
<i>N</i>	4,108	3,242	3,166	2,999

^aThis table contains the same independent variables used in the disaggregate regressions of Table 2. The notes to Table 2 list specific data sources.

^bData sources: June 1988, 1989, 1990, and 1991 issues of *Spectrum 3* published by CDA Investment Research.

Table 3: aggregate institutional ownership regressions, first page.

Table 3 continued: remaining variables and notes.

9.4 Table 4: Average values of market equity and accounting variables across S&P rankings (1988)

Purpose. This table connects S&P rankings to stock characteristics in the size and value/growth dimensions.

How to read it. Stocks are grouped by S&P rank. The table reports market equity, book-to-market, earnings-to-price, cash-flow-to-price, and sales growth.

Main takeaway. Higher-ranked stocks are much larger and tend to have lower book-to-market ratios. The evidence on earnings-to-price, cash-flow-to-price, and sales growth is less clean. The cleanest link is between prudence and large, low book-to-market stocks.

Table 4
Average values of market equity and accounting variables across S&P rankings (1988)
This table lists the mean, median (in brackets), and cross-sectional standard deviation (in parentheses) of the accounting variables of NYSE, AMEX, and NASDAQ stocks in each S&P rank category, using only nonnegative data. The footnotes provide more information on those categories in which more than 10% of the category have negative accounting ratios.

S&P rank	Market equity ^a	Book ^b market ^b	Earnings price ^c	Cash flow/price ^d	Growth in sales ^e	N
A+	4,091.8 [1,939.9] (8,087.7)	0.57 [0.51] (0.3)	0.08 [0.08] (0.03)	0.11 [0.10] (0.05)	0.13 [0.12] (0.09)	132
A	2,146.0 [851.2] (4,898.4)	0.69 [0.68] (0.37)	0.09 [0.09] (0.03)	0.14 [0.13] (0.1)	0.1 [0.08] (0.09)	225
A-	1,613.5 [506.8] (3,256.0)	0.72 [0.69] (0.32)	0.09 [0.09] (0.03)	0.15 [0.15] (0.07)	0.1 [0.09] (0.1)	263
B+	769.4 [159.3] (1,966.4)	0.87 [0.73] (0.85)	0.09 [0.08] (0.04)	0.16 [0.14] (0.12)	0.12 [0.1] (0.12)	449
B	672.6 [115.1] (2,173.0)	1.01 [0.89] (0.61)	0.09 ^f [0.08] (0.06)	0.18 [0.16] (0.16)	0.12 [0.09] (0.16)	422
B-	264.9 [44.3] (810.0)	1.14 [1.02] (0.76)	0.09 ^g [0.09] (0.06)	0.19 ^h [0.17] (0.14)	0.11 [0.07] (0.24)	410
C	128.2 [22.3] (326.4)	1.1 [0.91] (0.87)	0.09 ⁱ [0.06] (0.12)	0.22 ^j [0.15] (0.26)	0.01 [-0.01] (0.22)	325
NR ^k	171.7 [53.3] (386.4)	0.87 [0.69] (0.86)	0.09 ^l [0.08] (0.06)	0.18 ^m [0.12] (0.36)	0.33 [0.23] (0.44)	1,231
NL ⁿ	24.5 [10.2] (55.7)	0.84 [0.6] (0.95)	0.09 ^o [0.07] (0.11)	0.17 ^p [0.11] (0.24)	0.11 [0.07] (0.34)	1,019

^aThe market value of equity is the price times shares outstanding measured at month-end June 1988 (in millions of dollars).

^bComputat book value of stockholder's equity at fiscal year-end 1987 divided by the market value of equity at calendar year-end 1987.

^cComputat earnings before extraordinary items less taxes and preferred dividends per share at fiscal year-end 1987 divided by price at calendar year-end 1987.

^dComputat earnings before extraordinary items less taxes and preferred dividends plus depreciation per share at fiscal year-end 1987 divided by price at calendar year-end 1987.

^eGeometric average of sales growth (1983-1987).

addition, I repeated all of the analysis in this section for a subsample that excluded financial firms and found virtually identical results.

Table 4 footnotes continued:

^f16% have negative earnings.

^g28% have negative earnings.

^h15% have negative cash flow.

ⁱ53% have negative earnings.

^j36% have negative cash flow.

^k29% have negative earnings.

^l21% have negative cash flow.

^m55% have negative earnings.

ⁿ45% have negative cash flow.

^oNot ranked (NR) is assigned by Standard and Poor's to stocks that have less than 10 years of data.

^pNot listed (NL) indicates that the stock was not listed in the 1988 S&P Guide.

Table 4: market equity and accounting variables across S&P rankings.

Table 4 continued: footnotes for negative earnings/cash-flow categories and ranking definitions.

9.5 Table 5: Equally weighted average manager portfolio weights in six size and book-to-market (B/M) categories (1988)

Purpose. This table directly tests whether the prudence tilt translates into size and book-to-market portfolio tilts.

How to read it. Stocks are sorted into six categories: small versus big stocks crossed with low, medium, and high book-to-market groups. The table compares banks, mutual funds, all institutions, and the market.

Main takeaway. Banks underweight small-stock categories and overweight big stocks, especially big low-B/M stocks. Mutual funds have much greater exposure to small stocks. This provides the bridge from legal prudence to return differences in the size dimension.

Table 5

Equally weighted average manager portfolio weights in six size and book-to-market (B/M) categories (1988)

All NYSE, AMEX, and NASDAQ stocks with a nonnegative book value of equity are placed into one of six categories using a procedure similar to the one described in Fama and French (1992, 1993). All NYSE stocks in the sample are ranked on size (market value of equity) in June 1988. All stocks larger in size than the median NYSE stock are placed into the big-stock category, while all stocks smaller than the median NYSE stock fall into the small-stock category. Using the year-end 1987 book-to-market ratios, breakpoints are calculated based on the bottom 30% (low), middle 40% (medium), and top 30% (high) of all sample NYSE stocks. All NYSE, AMEX, and NASDAQ are placed in the three book-to-market categories based on these breakpoints. For each category, market weight is defined as the total market value of stocks in that category divided by the total market value of all sample NYSE, AMEX, and NASDAQ stocks. A manager's portfolio weight is defined as the proportion of the total value of his equity portfolio invested in stocks in that category. Table entries represent the equally weighted average portfolio weights across either bank, mutual fund, or all institutional managers. Cross-sectional standard deviations are in parentheses. The percentage of banks, mutual funds, and all institutional managers with weights on that category greater than the value-weighted market weight is given below the standard deviations.

	Small stocks			Big stocks		
	Low B/M	Medium B/M	High B/M	Low B/M	Medium B/M	High B/M
Average market value [median] (\$MM)	90.86 [37.7]	90.24 [46.92]	57.88 [23.81]	3,163.7 [1,463.19]	2,416.6 [1,298.9]	2,196.78 [1,128.77]
N	1,253	1,083	1,340	349	327	135
Market weight	0.046	0.039	0.031	0.443	0.317	0.119
Banks ($N = 223$)	0.021 ^a (0.031)	0.032 ^b (0.045)	0.022 ^a (0.042)	0.511 ^a (0.135)	0.318 (0.121)	0.095 ^a (0.07)
% of banks exceeding market weight	11	26	16	74	43	20
Mutual funds ($N = 62$)	0.085 ^a (0.096)	0.065 (0.126)	0.046 (0.079)	0.447 (0.199)	0.254 ^a (0.134)	0.098 ^b (0.073)
% of mutual funds exceeding market weight	53	42	34	52	32	39
Institutional investors ($N = 941$)	0.055 ^b (0.097)	0.047 ^a (0.07)	0.038 ^b (0.077)	0.469 ^a (0.192)	0.278 ^a (0.134)	0.108 ^a (0.095)
% of institutional managers exceeding market weight	30	35	30	59	38	34

^aSignificantly different from the value-weighted market weight at the 1% level

Table 5: size and book-to-market portfolio weights for banks, mutual funds, and all institutions.

9.6 Table 6: Evidence that the differences between bank and mutual fund manager's tilting toward high-quality stocks holds during the 1968–1989 period

Purpose. This table tests whether the cross-sectional 1988 tilting evidence is consistent with long time-series differences in bank and mutual fund returns.

How to read it. Panel A lists annual relative returns of large versus small stocks and bank versus mutual fund managers. Panel B reports correlations. Panel C regresses bank-minus-mutual-fund returns on large-minus-small stock returns.

Main takeaway. Bank-minus-mutual-fund performance is highly positively correlated with large-minus-small stock performance. The correlations are 0.90, 0.92, and 0.85 over different periods. The evidence is consistent with bank managers having systematically greater exposure to large, prudent stocks.

Table 6
Evidence that the differences between bank and mutual fund manager's tilting toward high-quality stocks holds during the 1968–1989 period

Panel A. Relative returns of the large- and small-capitalization sectors and the average bank and mutual fund manager's portfolios

Year	$R_t^{S\&P} - R_t^{Small}$ ^a	$R_t^B - R_t^{MF}$ ^b	$R_t^{S\&P} - R_t^I$ ^c
1968	-0.2491	-0.036	0.0585
1969	0.1655	0.04	-0.1508
1970	0.2144	0.009	-0.0251
1971	-0.0219	-0.006	0.0992
1972	0.1455	0.022	0.1514
1973	0.1624	-0.003	-0.2159
1974	-0.0652	-0.008	-0.3447
1975	-0.1562	-0.055	0.314
1976	-0.3354	-0.057	0.1876
1977	-0.3256	-0.051	-0.123
1978	-0.169	-0.039	-0.0062
1979	-0.2502	-0.035	0.0806
1980	-0.0746	-0.009	0.2118
1981	-0.1879	-0.025	-0.1962
1982	-0.066	-0.022	0.1087
1983	-0.1716	-0.014	0.1371
1984	0.1294	0.028	-0.0358
1985	0.075	0.013	0.2444
1986	0.1162	0.002	0.231
1987	0.1453	0.007	-0.0024
1988	-0.0606	-0.007	0.1046
1989	0.2131	0.027	0.2312

Panel B. Estimated Pearson correlations between the relative returns of the large- and small-capitalization sectors and the relative returns of the average bank and mutual fund manager's equity portfolios

1968–78	1979–89	1968–89
0.90 ^d	0.92 ^d	0.85 ^d

Panel C. OLS regression of relative returns of the average bank and mutual fund manager on relative returns in the large- and small-capitalization stock sectors in three time periods

$$R_t^B - R_t^{MF} = \alpha + \gamma(R_t^{S\&P} - R_t^{Small}) + \epsilon_t \quad (1)$$

The data used in this regression are listed in panel A of this table. T-statistics are in parentheses.

Independent variable	Dependent variable		
	1968–78	1979–89	1968–89
Intercept	-0.008 (-1.77)	0.013 ^d (5.12)	0.003 (0.72)

Table 6 (continued)

Independent variable	Dependent variable		
	1968–78	1979–89	1968–89
$R_t^{S\&P} - R_t^{Small}$	0.14 ^d (6.26)	0.12 ^d (7.01)	0.14 ^d (7.21)
N	11	11	22
$\bar{R}^2$	0.79	0.83	0.71

^aThe return series for the S&P 500 Index and the small-capitalization stock index is from the Ibbotson and Associates' *Stocks, Bonds, Bills, and Inflation* series available on CRSP (CSTRET and SSTRST, respectively). The small-capitalization stock index includes stocks that would fit into the ninth and tenth deciles of the NYSE file.

^bThe 1968–1978 bank and mutual fund average returns are from Bogle and Twardowski (1980, Table 5). In order to make the bank and mutual fund returns comparable, they add back in mutual fund fees. The 1979–1989 bank and mutual fund asset-weighted average returns are from CDA Investment Technologies *Equity Performance: Banks vs. Other Managers* (various years). Included

Table 6: relative returns and correlations, first page.

Table 6 continued: regression results and notes.

9.7 Figure 1: Relative returns of the large- and small-capitalization stock sectors and of the average bank and mutual fund manager (1968–1989)

Purpose. This figure visualizes the time-series comparison in Table 6.

How to read it. One series shows returns of the S&P 500 minus the small-stock index. The other shows average bank manager returns minus average mutual fund manager returns.

Main takeaway. The two series move closely together. When large stocks outperform small stocks, banks tend to outperform mutual funds. When small stocks outperform, mutual funds tend to outperform. This is consistent with the paper's interpretation that differences in legal constraints create different portfolio sector exposures.

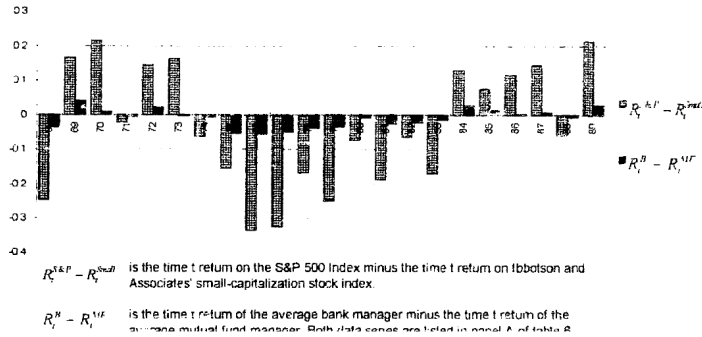


Figure 1: relative returns of large versus small stocks and bank versus mutual fund managers, 1968–1989.

10 Bottom Line

Del Guercio's paper shows that prudence regulation can create a measurable portfolio distortion. Bank managers, who are more exposed to prudent-man liability, hold stocks that are easier to defend in court: high S&P rank, S&P 500, large, seasoned firms. Mutual fund managers do not show the same tilt. The distortion is large enough to appear in aggregate ownership and to help explain relative performance differences across manager types. The broad lesson is that institutional demand can be shaped by legal and agency incentives, not only by risk, information, or benchmark optimization.